3.5.2 Cash flow forecasts

Unit 3.5 Financial management · 8 key points

- **Cash flow forecast:** predicted cash inflows and outflows over a period
- **Net cash flow:** cash inflows − cash outflows
- **Closing balance:** opening balance + net cash flow
- **Opening balance:** last month's closing balance
- **Receivables:** money owed to the business by customers
- **Payables:** money the business owes to suppliers
- **Value:** shows when finance may be needed, e.g. an overdraft
- **Difficulties:** forecasts rely on estimates of sales and timing